

THE DAILY FINANCE BRIEF

Financial News in Plain English

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Personalised for Rishabh Srinivasan

MARKETS

U.S. Stock Markets Drop Due to Inflation Fears

On August 19, 2026, U.S. stock markets saw a decline as worries about inflation (the general rise in prices of goods and services over time) persisted. The S&P 500 (an index that tracks the stock prices of 500 large U.S. companies) fell by 0.74%, while the Dow Jones Industrial Average (another index tracking 30 significant U.S. companies) decreased by 0.22%. The Invesco QQQ Trust (an index that tracks 100 of the largest non-financial companies listed on

the Nasdaq stock exchange) dropped by 1.69%. Investors are paying close attention to upcoming economic data and announcements from the Federal Reserve (the U.S. central bank that controls interest rates) for further insights.

This decline in stock prices can affect ordinary people as it may impact retirement accounts and investments, leading to concerns about financial security.

Source: Kiplinger

MARKETS

Bitcoin and Ethereum Prices Fluctuate

As of August 19, 2026, Bitcoin (a type of digital currency) rose slightly by 0.24% to \$64,456, while Ethereum (another type of digital currency) remained stable at \$1,624.95. The cryptocurrency market, which includes digital currencies like Bitcoin and Ethereum, continues to experience volatility (rapid price changes), influenced by regulatory developments and broader economic factors. While these fluctuations may not directly impact everyday people, they can affect investment portfolios and the overall financial market.

Source: Kiplinger

July Inflation Data Shows Slight Improvement

In July 2026, the Consumer Price Index (CPI), which measures the average change over time in the prices paid by consumers for goods and services, increased by 0.1% from the previous month and 3.4% compared to the same month last year. This aligns with what economists expected. The core CPI, which excludes food and energy prices due to their volatility, rose by 0.2% monthly and 2.5% annually. Although energy prices fell by 1.5% from June to July, they remain 14.7% higher than a year ago. This modest cooling in inflation could influence the Federal Reserve's future decisions regarding interest rates.

For everyday people, understanding inflation trends is crucial as they directly affect the cost of living and purchasing power.

Source: Kiplinger

Federal Reserve Discusses Interest Rates in July Meeting Minutes

The Federal Reserve (the U.S. central bank that controls interest rates) recently released the minutes from its July 2026 meeting. The minutes revealed a divided decision to keep the federal funds rate (the interest rate at which banks lend to each other overnight) between 3.50% and 3.75%. While economic activity is strong, concerns about persistent inflation (the general rise in prices) and a stable job market have made it challenging for the Fed to make clear decisions. The Fed is closely watching upcoming economic data to guide future interest rate changes.

This decision impacts everyday people, as changes in interest rates can affect loan costs, mortgage rates, and savings account interest.

Source: Kiplinger

Wholesale Prices Show Signs of Slowing Inflation

In July 2026, wholesale price inflation (the rate at which prices for goods sold by wholesalers increase) slowed down as prices for gas and food dropped. The producer price index (PPI), which measures the average change in selling prices received by domestic producers for their output, rose by 4.7% year-over-year, down from 5.5% in June. Core wholesale inflation, excluding food and energy prices, also decreased to 4.2% annually. This trend suggests that consumer inflation (the rate at which prices for goods and services purchased by consumers increase) may ease in the coming months, although consumer prices have been rising faster than wages, which can strain household budgets.

For everyday people, understanding wholesale price trends can provide insight into future consumer prices.

Source: AP News

Kiplinger Reports on Business Costs for 2026

Kiplinger has released its Business Costs Special Report for 2026, providing insights into economic conditions that may affect businesses in the coming year. The report forecasts a 2.2% growth in U.S. GDP (the total value of all goods and services produced in the country) for 2027, with inflation expected to decrease to 3.0%. Corporate profits are projected to rise by 17% overall, but health insurance premiums (the amount paid for health insurance coverage) per employee are expected to increase by 6.7%. This report high-

lights the potential impact of rising business costs on consumers, as businesses may pass these costs onto customers.

Source: Kiplinger

What is the Federal Open Market Committee (FOMC)?

The Federal Open Market Committee (FOMC) is a part of the Federal Reserve (the U.S. central bank that controls interest rates) responsible for managing the country's monetary policy. This committee meets regularly to discuss and decide on key economic issues, including setting the federal funds rate (the interest rate at which banks lend to each other overnight). Understanding the FOMC is important because its decisions can significantly impact inflation (the general rise in prices) and employment (the availability of jobs), which directly affect everyday people's financial situations.

Source: Kiplinger

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